

Continental Merchant Bank Ltd. — Corporate Banking Branch, Hyderabad*Internal Credit File — Confidential***Metro Hospitality Ventures Pvt. Ltd.***Restructuring Case File — Reference No. RST/2025/0033*

Illustrative / synthetic credit file created for training and demonstration purposes (e.g., testing retrieval-augmented generation systems). All names, figures, and details are fictional and do not correspond to any real borrower, bank, or transaction.

1. Facility Overview (Pre-Restructuring)

Borrower	Metro Hospitality Ventures Pvt. Ltd., operating a 3-property budget hotel chain in Hyderabad
Original Facility	Term Loan of ₹14,50,00,000 for hotel property acquisition and renovation, sanctioned March 2021
Original Account No.	TL/2021/0412
Restructuring Reference	RST/2025/0033
Outstanding at Restructuring	₹10,85,00,000 (as of 31 Jan 2025, cut-off date)
Reason for Stress	Prolonged occupancy shortfall following reduced corporate travel demand in the borrower's key micro-market segment
Asset Classification (Pre-Restructuring)	SMA-1 as of December 2024 (overdue 31–60 days)
Relationship Manager	Mr. Sandeep Rathi, Manager — Stressed Assets Group

2. Borrower Profile and Background

Metro Hospitality Ventures Pvt. Ltd. operates three budget-category hotel properties in Hyderabad, catering primarily to corporate and business travelers. Following the original term loan disbursement in 2021, occupancy and average room rates underperformed projections due to a slower-than-expected recovery in corporate travel demand in the borrower's target segment, resulting in cash flow shortfalls beginning in mid-2024.

The borrower approached the bank in November 2024 with a request for restructuring, supported by a revised business plan and a commitment of additional promoter capital infusion.

3. Chronology of Restructuring Process

Date	Event	Notes
14 Nov 2024	Borrower's restructuring request received	Cited occupancy shortfall and cash flow mismatch; requested tenor extension and moratorium
5 Dec 2024	Account slips to SMA-1	Overdue installment of ₹42,00,000 remained unpaid beyond 30 days
20 Dec 2024	Independent viability assessment commissioned	External consultant engaged to assess revised business plan and cash flow projections
18 Jan 2025	Viability assessment report received	Consultant assessed the business as viable with restructured terms, subject to promoter capital infusion of ₹1,50,00,000
31 Jan 2025	Cut-off date for restructuring package	Outstanding of ₹10,85,00,000 taken as base for restructured terms
14 Feb 2025	Restructuring package approved by credit committee	Approved subject to promoter capital infusion condition and revised covenant package

28 Feb 2025	Promoter capital infusion confirmed	₹1,50,00,000 infused into borrower's current account, verified by bank
10 Mar 2025	Restructuring agreement executed	Revised repayment schedule and covenant package take effect from 1 Apr 2025
15 Jul 2025	First post-restructuring quarterly review	First two installments under revised schedule paid on time; no overdue

4. Restructured Terms

Parameter	Pre-Restructuring	Post-Restructuring
Outstanding tenor remaining	38 months	62 months (24-month extension)
Moratorium	None	6-month moratorium on principal, effective 1 Apr 2025
Rate of Interest	RLLR + 3.25%	RLLR + 3.50% (revised for restructured risk profile)
Additional security	Equitable mortgage of hotel properties	Existing mortgage retained; additional pledge of promoter's shares in the borrower company
Reporting covenant	Quarterly financials	Monthly occupancy and revenue reporting added for first 12 months post-restructuring

5. Documents on Record

Document	Description	Status
Restructuring request letter	Dated 14 Nov 2024, with revised business plan	On file
Independent viability assessment report	Dated 18 Jan 2025	On file; basis for credit committee approval
Credit committee approval note	Dated 14 Feb 2025	On file
Restructuring agreement	Executed 10 Mar 2025; revised repayment schedule and covenants	Executed and on file
Share pledge agreement	Promoter's shares in borrower company	Executed 10 Mar 2025
Proof of promoter capital infusion	Bank statement evidencing ₹1,50,00,000 credit dated 28 Feb 2025	On file

6. Asset Classification Post-Restructuring

Per applicable regulatory guidelines on restructuring of stressed assets, the account has been classified as a Special Mention Account under the restructured category for a monitoring period of 12 months from the date of implementation (10 March 2025), notwithstanding timely payment of restructured installments. Upgrade to Standard classification (unqualified) will be considered only if all restructured obligations are serviced on time throughout this monitoring period, per applicable prudential norms.

7. Risk Assessment

The restructuring is assessed as adequately supported by the independent viability report and the confirmed promoter capital infusion. The primary residual risk is continued softness in corporate travel demand in the borrower's segment beyond current projections; the added monthly occupancy and revenue reporting covenant is intended to provide early warning if the recovery assumed in the revised business plan does not materialize.

8. Current Status

The first two quarterly installments under the restructured schedule have been paid on time. The account remains under close monitoring per the restructured-account classification, with monthly occupancy and revenue reports being reviewed by the Stressed Assets Group.

9. Next Steps

- Continue monthly review of occupancy and revenue reports against the revised business plan assumptions through Q1 FY27
- Formal review of classification upgrade eligibility at completion of the 12-month monitoring period (10 March 2026)
- Verify continued adequacy of hotel property valuations via a fresh valuation report before the 12-month review

10. Internal Notes (Confidential)

Stressed Assets Group notes that two of the borrower's three properties are performing ahead of the revised business plan, while the third (older, city-center property) continues to lag; this should be a specific focus area in monthly monitoring rather than relying solely on consolidated occupancy figures.

11. Key Contacts

Name	Role	Organization
Mr. Vishal Mehta	Managing Director	Metro Hospitality Ventures Pvt. Ltd.
Mr. Sandeep Rathi	Manager, Stressed Assets Group	Continental Merchant Bank Ltd.
M/s. Anand Consulting Group	Independent Viability Assessor	External consultant engaged by bank

12. Correspondence Log

Date	Correspondence	Summary
14 Nov 2024	Borrower's restructuring request letter	Included revised business plan and cash flow projections
22 Feb 2025	Bank's sanction letter for restructuring	Communicated approved terms ahead of formal agreement execution
18 Jul 2025	Borrower's Q1 FY26 occupancy report submission	First monthly report under revised reporting covenant; reviewed without concerns

13. Regulatory and Internal Policy References

- Reserve Bank of India Master Circular/Framework on Resolution of Stressed Assets — governs the restructuring process, independent viability assessment requirement, and post-restructuring asset classification followed in this file
- Bank's Internal Stressed Assets Policy, Section 4 (Restructuring Eligibility and Process) — governs the viability assessment and credit committee approval process documented in Section 3
- Bank's Internal Stressed Assets Policy, Section 9 (Post-Restructuring Monitoring) — governs the 12-month monitoring period and upgrade criteria described in Section 6

14. Glossary of Terms Used in This File

- Restructuring: a modification of the original loan terms (tenor, rate, moratorium) to align repayment obligations with a borrower's revised cash flow capacity, typically applied where the underlying business is assessed as viable
- Cut-off date: the reference date as of which outstanding dues are computed for the purpose of structuring a restructuring package
- Viability assessment: an independent evaluation of whether a stressed borrower's business, under a revised plan, can generate sufficient cash flow to service restructured debt obligations
- SMA (restructured category): a classification applied to restructured accounts for a defined monitoring period, regardless of timely payment, before consideration for upgrade to unqualified Standard status

End of document. Internal reference: CMB-RST-2025-0033 (synthetic training corpus).